

Manohar Chowdhry & Associates

CHARTERED ACCOUNTANTS

11th October 2024

To,
The Director,
Credent Asset Management Services Private Limited
One BKC, G-Block, C-Wing, 6th Floor,
Unit no 609, Bandra Kurla Complex, Bandra (East),
Mumbai – 400051, Maharashtra, India

Dear Sir,

We, Manohar Chowdhry & Associates, Mumbai, have verified the Disclosure Document and other relevant records and documents of **Credent Asset Management Services Private Limited** for the period ended **30th September, 2024** and audited accounts as on 31st March, 2024. Based on our verification, information and explanations given to us, we hereby certify that the disclosures made in the disclosure document and annexed hereto are true, fair and adequate to enable the investors to make a well-informed decision. We further certify that disclosure document complies with the requirements specified in the Schedule V of Regulation 22 of Securities and Exchange Board (Portfolio Managers) Regulations, 2020.

Management Responsibility

The preparation of the information contained therein is the responsibility of the management of the Company including the preparation and maintenance of all accounting and other records supporting its contents. This responsibility includes design, implementation and maintenance of internal control relevant to the preparation and presentation of the same and applying an appropriate basis of preparation and making estimates that are reasonable in the circumstances.

Auditors' Responsibility

The auditor's responsibility is to provide a reasonable assurance whether the above calculations and information in the statements enclosed have been accurately extracted from the books and records produced before us. We conducted our examination of the information required to be furnished herein in accordance with the Guidance Note on Reports or Certificates for Special Purposes issued by the Institute of Chartered Accountants of India. The Guidance Note requires that we comply with the ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India.

We have complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements. A reasonable assurance

engagement includes performing procedures to obtain sufficient appropriate audit evidence on the applicable criteria. The procedures selected depend on the auditor's judgement.

The certificate is issued as per the requirement specified in Form C of Schedule I of Regulation 22 of the Securities and Exchange Board (Portfolio Managers) Regulations, 2020. The Disclosure Document forms an integral part of certificate.

Thanking you,

Yours faithfully,

For **Manohar Chowdhry & Associates**
Chartered Accountants
FRN: 001997S

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Ameet N Patel

Partner

M. No. 039157

UDIN: 24039157BKCOJV9876

Place: Mumbai

Date: 11th October, 2024

CREDENT ASSET MANAGEMENT SERVICES PRIVATE LIMITED

DISCLOSURE DOCUMENT FOR PORTFOLIO MANAGEMENT

September 30, 2024

[As required under Regulation 22 of Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020]

I. Declaration:

- i. The Disclosure Document (hereinafter referred as the “**Document**”) has been filed with Securities and Exchange Board of India (the Board) along with the certificate in the specified format in terms of Regulation 22 of the SEBI (Portfolio Managers) Regulations, 2020.
- ii. The purpose of the Document is to provide essential information about the portfolio services in a manner to assist and enable the investors in making informed decision for engaging a portfolio manager.
- iii. The Document contains the necessary information about the portfolio manager required by an investor before investing, and the investor may also be advised to retain the document for future reference.
- iv. The name, phone number, e-mail address of the principal officer so designated by the portfolio manager are as follows:

PRINCIPAL OFFICER Name : Harshal Gosrani Phone : +91 8657023041 E-Mail : harshal@credentglobal.com	PORTFOLIO MANAGER Credent Asset Management Services Private Limited One BKC, G-Block, C-Wing, 6th Floor, Unit no 609, Bandra Kurla Complex, Bandra (East), Mumbai – 400051, Maharashtra, India
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1) Disclaimer

- Particulars of this Document have been prepared in accordance with the SEBI (Portfolio Managers) Regulations, 2020, as amended till date and filed with SEBI.
- This Document has neither been approved nor disapproved by SEBI nor has SEBI certified the accuracy or adequacy of the contents of the Document.

2) Abbreviations & Definitions

- Agreement:** Means the portfolio management services agreement entered between the Portfolio Manager and the Client/Investor, as amended, modified, supplemented or restated from time to time together with all annexures, schedules and exhibits, if any.
- Applicable Laws:** Means any applicable Indian statute, law, ordinance, regulation including the SEBI Regulations, rule, order, by law, administrative interpretation, writ, injunction, directive, judgment or decree or other instrument which has a force of law in India, as is in force from time to time.
- Capital Contribution:** Means the amounts contributed by the Client for investments in accordance with the terms of the Agreement from time to time during the Term.
- Chartered Accountant:** A Chartered Accountant as defined in clause (b) of sub-section (1) of section 2 of the Chartered Accountants Act, 1949 (38 of 1949) and who has obtained a certificate of practice under sub-section (1) of section 6 of that Act.
- Client / Investor:** Means domestic resident Indian individuals, company/body corporate, partnership firm, trust, society, association of persons, limited liability partnership, and such other persons as may be deemed by the Portfolio Manager, to be eligible to avail of the services of the Portfolio Manager from time to time under the PMS.
- Financial Year:** A financial year shall be the period of 12 months commencing on 1st of April and ending on the 31st March of the succeeding year or such other year as may be prescribed by Applicable Law from time to time.
- Management Fee:** Means the management fee payable to the Portfolio Manager in accordance with the terms of the Agreement and this Document.
- Performance Fee:** Means the performance-linked fee payable to the Portfolio Manager in accordance with the terms of the Agreement and this Document.
- Portfolio Manager:** Means Credent Asset Management Services Private Limited, who pursuant to a contract or arrangement with a Client / Investor, advises or directs or undertakes on behalf of the Client / Investor (whether as a discretionary Portfolio Manager or otherwise) the management or administration of a portfolio of securities or the funds of the Client / Investor, as the case may be.
- Portfolio Entity:** Means companies, enterprises, entities, bodies corporate, venture capital funds, trusts, limited liability

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partnerships, partnership firms or any other entities in the Securities in which the monies of the Portfolio are invested subject to Applicable Laws.

- k) **Portfolio or Client Portfolio:** Means the total holding of all investments, Securities and funds belonging to the Client in accordance with the Agreement.
- l) **Principal Officer:** An employee of the Portfolio Manager who is designated as the Principal Officer under Regulations by the Portfolio Manager.
- m) **PMS:** Means the portfolio management services provided by the Portfolio Manager in accordance with the terms and conditions set out in the Agreement entered with its Client/Investor and in accordance with the terms of this Document.
- n) **PML Laws:** Means the Prevention of Money Laundering Act, 2002, Prevention of Money-laundering (Maintenance of Records of the Nature and Value of Transactions, the Procedure and Manner of Maintaining and Time for Furnishing Information and Verification and Maintenance of Records of the Identity of the Clients of the Banking Companies, Financial Institutions and Intermediaries) Rules, 2005, the guidelines/circulars issued by SEBI thereto as amended and modified from time to time.
- o) **Product/Option:** Means the investment products/options with the respective investment strategy/features, introduced by the Portfolio Manager from time to time.
- p) **Regulations:** Means the Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020 as amended and modified from time to time and including any circulars/notifications issued pursuant thereto.
- q) **Securities:** For the purpose of this Document shall mean and include such permitted securities/instruments of Portfolio Entities, all marketable securities including equity shares, quasi equity shares, preference shares, debentures (whether convertible or non-convertible or optionally convertible and whether secured or unsecured and whether listed or unlisted), convertible securities, depository receipts, bonds, secured premium notes, government securities, pass-through certificates, treasury bills, units, derivatives, equity linked products, debt, hybrid debt products, mortgage-backed securities, foreign bond, foreign scrips, foreign stocks, other foreign securities, commercial debt papers, notes, units of a trust (including real estate investment trusts or infrastructure investment trusts), units of a domestic venture capital fund and any other instrument falling within the definition of 'security' under section 2(h) of the Securities Contract (Regulation) Act, 1956.
- r) **SEBI:** Securities and Exchange Board of India constituted under the Securities and Exchange Board of India Act, 1992.
- s) **Term:** The term of the Agreement as reflected in the respective Agreement entered with the Client by the Portfolio Manager.
- t) **Termination Fee:** Means the withdrawal charge/s payable to the Portfolio Manager in accordance with the terms of the Agreement and this Document.
- u) Any term used in this Document but not defined herein (but defined in the Regulations) shall have the same meaning as assigned to them in the Regulations.

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3) Description

(i) History, Present Business and Background of Credent Asset Management Services Private Limited, the Portfolio Manager

Vide SEBI Letter (IMD/DFI/VA/OW/18145/2017) dated August 2, 2017, change in control of BCB Capital Advisors Private Limited was approved by SEBI subject to making application with SEBI for fresh registration as a portfolio manager (the said 'SEBI Letter'). Subsequently, BCB Capital Advisors Private Limited was renamed as Credent Asset Management Services Pvt. Ltd vide letter from Ministry of Corporate Affairs dated September 07, 2017.

Credent Asset Management Services Private Limited is presently offering investment management, portfolio management, and advisory services to High Net-worth Individuals (HNIs), Institutional clients, Corporates and other permissible class of investors.

Directors of Credent Asset Management Services Private Limited have had a long-standing successful investing career, investing in listed and unlisted Small and Mid-sized companies in India across a diverse range of sectors. Credent Asset Management Services Private Limited will look to leverage this wide spread experience to offer superior portfolio management / investment advice to its investors.

The company has received SEBI approval for CATII and CATIII AIFs and will launch Funds under them soon.

(i) Promoters of the Portfolio Manager, Directors and their background

Credent Asset Management Services Private Limited has been promoted by following Shareholders:

Name of Association	Holding %	Holdings
Credent Global Finance Limited (Formerly known as Oracle Credit Limited)	100	22,92,756
Aditya Vikram Kanoria (as a nominee of Credent Global Finance Limited)	0	1

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A brief profile of all Directors of the Company is mentioned hereunder:

Aditya Vikram Kanoria

Aditya Vikram Kanoria is an enterprising professional with an experience of over a decade in the realm of financial services. His expertise spans across continuum of financial markets and has the credit of delivering significant profitable success stories that serve as examples to professionals. His inking with entrepreneurial life started at an early age with his family teaching him the nuances of profitable ventures. Hailing from a family of businessmen, it is only natural for him to establish, grow and sustain new businesses with ease. His meticulous approach and well laid planning made him spearhead various verticals in financial services, while working in the capacity of senior management at organizations like Motilal Oswal Financial Services, and Capital First in the past. He has orchestrated processes in establishing distribution network, business & marketing strategy, brand & product development, financial modelling for new brands. He credits his success to the affable amalgamation of moral values and ethics, which he feels are essential to run a successful enterprise. Believing in positivity, he places his trust in his employees and partners since he feels that every human being has a fire to excel and deliver extraordinary results. He plans to ink more success stories along with the help of the key stakeholders of Red Ribbon Advisory Services Private Limited. Being focused, target oriented, and having an aggressive approach towards a problem at hand, Aditya believes in flawless delivery. Combining the elements of hard work, enthusiasm and perfection, he has proven to be a sharp businessman having a trained eye on financial services.

Mandeep Singh

Mandeep Singh comes with more than a decade of experience in the financial services industry, brings with him the experience of heading a product distribution division of one of India's largest financial services. He has significant knowledge of the region & relationships across the Investment community. He has worked in several segments of financial services across Stock Broking, Asset Management & Allocation for Private Clients & Institutions. He holds CF30 Control Function approved by FCA (Financial Conduct Authority UK) for advising to Institutions, Electives professional investors and Retail investors for direct and pension investments.

(ii) Top 10 Group companies/firms of the Portfolio Manager on turnover basis.

The Portfolio Manager has 3 group companies/firms:

- a. Credent Global Finance Limited (NBFC)
- b. Credent Investment Private. Limited.
- c. Credent Properties Advisory Limited.

(iii) Details of the services being offered: Discretionary, Non-Discretionary and Advisory

The Portfolio Manager carries on discretionary portfolio management services & and advisory services and if opportunity arises thereafter, then it also proposes to render non-discretionary portfolio management services. The above-mentioned services shall be offered to High Net-worth Individuals (including non-resident Indians), Corporates, Hindu Undivided Families, Trusts, Partnerships, Limited Liability Partnerships for investment into the listed and unlisted equity market as per the rules and regulations laid down by SEBI and RBI.

a) Discretionary Services:

Under the Discretionary PMS, the choice as well as the timings of the investment decisions rest solely with the Portfolio Manager and the Portfolio Manager can exercise any degree of discretion in the investments or management of assets of the Client. The Securities invested / disinvested by the Portfolio Manager for Clients may differ from Client to Client. The Portfolio Manager's decision (taken in good faith) in deployment of the Client's account is absolute and final and cannot be called in question except on the ground of fraud, *malafide*, conflict of interest or gross negligence. This right of the Portfolio Manager shall be exercised strictly in accordance with the Applicable Laws in force from time to time, including the Regulations. Periodical statements in respect of the Client's assets under management shall be sent to the respective Clients.

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Credent Asset Management Services Private Limited is currently offering PMS under its discretionary investment management service platform, the details of which are set out at Paragraph 5 below.

b) Non - Discretionary Services:

Under the Non-Discretionary PMS, the assets of the client are managed in consultation with the Client. Under this service, the assets are managed as per the requirements of the Client after due consultation with the client. The Client has complete discretion to decide on the investment (quantity and price or amount). The Portfolio Manager inter alia manages transaction execution, accounting, recording or corporate benefits, valuation and reporting aspects on behalf of the Client.

c) Advisory Services

The Portfolio Manager provides investment advisory services, in terms of the regulations, which shall include the responsibility of advising on the portfolio strategy and investment and divestment of individual securities on the Clients portfolio, for an agreed fee structure and for a defined period, entirely at the Client's risk; to all eligible category of Investors who can invest in Indian market including NRIs, FIIs, etc. The Portfolio Manager shall be solely acting as an advisor to the portfolio of the Client and shall not be responsible for the investment / divestment of Securities and / or any administrative activities on the Client's portfolio. The Portfolio Manager shall provide advisory services in accordance with such guidelines and / or directives issued by the regulatory authorities and / or the Client, from time to time, in this regard.

4) Penalties, pending litigation etc.

Penalties, pending litigation or proceedings, findings of inspection or investigations for which action may have been taken or initiated by any regulatory authority:

- (i) All cases of penalties imposed by SEBI or the directions issued by SEBI under Applicable Laws.
None.
- (ii) The nature of the penalty/direction.
None.
- (iii) Penalties imposed for any economic offence and/ or for violation of any securities laws.
None.
- (iv) Any pending material litigation/legal proceedings against the Portfolio Manager/key personnel with separate disclosure regarding pending criminal cases, if any.
None.
- (v) Any deficiency in the systems and operations of the Portfolio Manager observed by the SEBI or any regulatory agency.
None.
- (vi) Any enquiry/ adjudication proceedings initiated by SEBI against the Portfolio Manager or its directors, principal officer or employee or any person directly or indirectly connected with the Portfolio Manager or its directors, principal officer or

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employee, under Applicable Laws.

None.

5) Services Offered

The present investment objectives and policies including the types of securities in which it generally invests shall be clearly and concisely stated in the Document for easy understanding of the potential investor.

Names of Investment Approach:

- A) Credent AIM Multi Cap:** The endeavour of the Investment Approach is to invest in companies with earnings visibility along with strong cash generation capabilities and are trading at attractive valuations / discount to intrinsic value. The Investment Approach has mix of top down and bottom-up approach while constructing a portfolio. It invests in equity across sectors and market cap which meet the above criteria while focusing on risk reward ratios. **(For further details, refer to Annexure I)**
- B) Credent Asset Management Services Pvt Ltd.** It is a diversified Investment Approach that seeks to provide long term/ short term capital appreciation by investing in *Equity and Fixed Income depending on market condition. By carefully analysing the wide range of data on performance we have identified the right mix of best Managers to optimize the growth. (For Further details, refer to Annexure II)*
- C) Mehta Credent Focused Multi Cap:** The goal of this investment strategy is to invest in 20-25 companies that demonstrate earnings visibility and strong cash generation capabilities, while being priced attractively or at a discount to their intrinsic value. It invests in equities across various sectors and market capitalizations that meet these criteria, with a focus on optimizing risk-reward ratios.

6) Risks:

- Securities investments are subject to market risk and there is no assurance or guarantee that the objectives of the PMS will be achieved.
- Without prejudice to the above, the past performance of the Portfolio Manager will not indicate its future performance.
- Any act, omission or commission of the Portfolio Manager under the Agreement would be solely at the risk of the Client and the Portfolio Manager will not be liable for any act, omission or commission or failure to act save and except in cases of gross negligence, willful default and/or fraud of the Portfolio Manager.
- The Client Portfolio may be affected by settlement periods and transfer procedures.
- The Portfolio Management Service is subject to risk arising out of non-diversification as the Portfolio Manager under its PMS may invest in a particular sector, industry, few/single Portfolio Entity/ies. The performance of the portfolios would depend on the performance of such companies/industries/sectors of the economy.

Other risks arising from the investment objectives, investment strategy and asset allocation are stated as under:

Risks associated with investments in equity and equity linked securities.

- Equity and equity related securities by nature are volatile and prone to price fluctuations on a daily basis due to both macro and

micro factors.

- Execution of investment strategies depends upon the ability of the Portfolio Manager to identify opportunities which may not be always available and that the decisions made by the Portfolio Manager may not always be profitable.
- In domestic markets, there may be risks associated with trading volumes, settlement periods and transfer procedures that may restrict liquidity of investments in equity and equity related securities.
- In the event of inordinately low volumes, there may be delays with respect to unwinding the Portfolio and transferring the redemption proceeds.
- The value of the Portfolio, may be affected generally by factors affecting securities markets, such as price and volume volatility in the capital markets, interest rates, currency exchange rates, changes in policies of the Government, taxation laws or policies of any appropriate authority and other political and economic developments and closure of stock exchanges which may have an adverse bearing on individual securities, a specific sector or all sectors including equity and debt markets. Consequently, the Portfolio valuation may fluctuate and can go up or down.
- Investors may note that Portfolio Manager's investment decisions may not always be profitable, as actual market movements may be at variance with anticipated trends.

Risks associated with investments in fixed income Securities/products

Some of the common risks associated with investments in fixed income and money market Securities are mentioned below. These risks include but are not restricted to:

- **Interest Rate Risk:** As with all debt securities, changes in interest rates affects the valuation of the portfolios, as the prices of securities generally increase as interest rates decline and generally decrease as interest rates rise. Prices of longer-term securities generally fluctuate more in response to interest rate changes than do shorter-term securities. Interest rate movements in the Indian debt markets can be volatile leading to the possibility of large price movements up or down in debt and money market securities and thereby to possibly large movements in the valuation of portfolios.
- **Liquidity or Marketability Risk:** This refers to the ease at which a security can be sold at or near its true value. The primary measure of liquidity risk is the spread between the bid price and the offer price quoted by a dealer. Liquidity risk is characteristic of the Indian fixed income market.
- **Credit Risk:** Credit risk or default risk refers to the risk which may arise due to default on the part of the issuer of the fixed income security (i.e. risk that the issuer will be unable to make *timely* principal and interest payments on the security). Because of this risk, debentures are sold at a yield spread above those offered on Treasury securities, which are sovereign obligations and generally considered to be free of credit risk. Normally, the value of a fixed income security will fluctuate depending upon the actual changes in the perceived level of credit risk as well as the actual event of default.
- **Reinvestment Risk:** Investments in fixed income securities may carry reinvestment risk as *interest* rates prevailing on the interest or maturity due dates may differ from the original coupon of the bond. Consequently, the proceeds may get invested at a lower rate.
- **Rating risks:** Different types of debt securities in which the Client invests, may carry different levels and types of risk. Accordingly, the risk may increase or decrease depending upon its investment pattern, for instance corporate bonds carry a higher amount of risk than *Government* securities. Further even among corporate bonds, bonds, which are AA rated, are comparatively more risky than bonds, which are AAA rated.

- *Price volatility risk:* Debt securities may also be subject to price volatility due to factors such as changes in interest rates, general level of market liquidity and market perception of the *creditworthiness* of the issuer, among others (market risk). The market for these Securities may be less liquid than that for other higher rated or more widely followed Securities.

Risks related to investments in SMEs

- *Uncertainty of Net Asset Value:* There is no single standard for determining fair value in good faith. Determining fair value requires that judgment be applied to the specific facts and circumstances of each Portfolio Investment while applying a valuation process for the types of investments the PMS make, which includes but is not limited to deriving a hypothetical exit price. Because such valuations are inherently uncertain and may be based on estimates, the determinations of fair value may differ materially from the values that would be assessed if a ready market for these securities existed. Any changes in fair value are recorded in the statement of operations as net change in unrealized appreciation or depreciation. The net asset value could be adversely affected if the determinations regarding the fair value of the Investments were materially higher than the values that the PMS ultimately realize upon the disposal of such Securities.
- *Risk of investing in SME Stocks:* Investment in SME stocks are considered to be high risk-high return instruments. SMEs are high risk due to their small capital structure and lack of transparency since most of the companies in the segment have a short track record and/or are small. The companies typically are family businesses converted to corporate structure or are first-time entrepreneurs, so, it is tough to precisely enumerate risks related to achieving their growth potential. Thus, SEBI has kept the minimum trading value of INR 1 lacs. Although, there are various risk associated to the SME stocks, they have the capacity to provide superior returns to the investors in long run.
- *Corporate disclosure and corporate governance standards on SME exchanges:* Disclosure and corporate governance standards on SME exchanges are not as comprehensive as the companies that are listed on the recognized stock exchanges (hereinafter referred to as 'main board'). The responsibility to comply with the corporate governance standards prescribed by the securities market regulator is not as detailed and stringent as applicable to the companies listed on the main board.
- *Investments on Indian SME Markets:* SME markets are volatile and may decline significantly in response to adverse issuer, political, regulatory, market or economic developments. There may be instances wherein there is rapid and volatile fall in security prices occurring within an extremely short period, like in the nature of flash crash etc. Different parts of the market and different types of equity securities may react differently to these developments. Issuer, political or economic developments may affect a single issuer, issuers within an industry, sector or geographic region, or the market.

Securities listed on Indian SME exchanges may have low market capitalization and trading volume. Further, such volatility could also create liability on the PMS to bring in additional margin. There can be no assurance that sales on the Indian SME exchanges will provide a viable exit mechanism for the investments.

Risks relating to investments in listed securities

- *Indian Securities Markets:* Stock markets are volatile and may decline significantly in response to adverse issuer, political, regulatory, market or economic developments. Different parts of the market and different types of equity securities may react differently to these developments. For example, small cap stocks may react differently than large cap stocks. Issuer, political or economic developments may affect a single issuer, issuers within an industry, sector or geographic region, or the market.

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Securities listed on Indian stock exchanges may have low market capitalization and trading volume. There can be no assurance that sales on the Indian stock exchanges will provide a viable exit mechanism for the Investments.

Indian stock exchanges utilize 'circuit breaker' systems under which trading in particular stocks or entire trading could potentially be suspended on account of excessive volatility in a stock or on the market. Such disruptions could significantly impact on the ability of the Portfolio Manager to sell its investments. Factors like these could adversely affect the PMS performance.

Mutual Fund Risk: This risk arises from investing in units of Mutual funds. Risk factors inherent to equities and debt securities are also applicable to investments in mutual fund units. Further, scheme specific risk factors of each such underlying scheme, including performance of their underlying stocks, derivatives instruments, stock lending, off-shore investments etc., will be applicable in the case of investments in mutual fund units. In addition, events like change in fund manager of the scheme, take over, mergers and other changes in status and constitution of mutual funds, foreclosure of schemes or plans, change in government policies could affect performance of the investment in mutual fund units. The Client shall bear recurring expenses of the Portfolio in addition to the expenses of the underlying mutual fund schemes. Hence the client may receive lower pretax returns compared to what he may receive had he invested directly in the underlying mutual fund scheme is the same proportions.

Other risks in relation to investment in Securities/Instruments

- The in-specie distribution of the Securities by the Portfolio Manager upon termination or liquidation of the Client Portfolio could consist of such Securities for which there may not be a readily available public market. Further, in such cases the Portfolio Manager may not be able transfer any of the interests, rights or obligations with respect to such Securities except as may be specifically provided in the Agreement with Portfolio Entities. If an in-specie distribution is received by the Clients from the Portfolio Manager, the Clients may have restrictions on disposal of assets so distributed and consequently may not be able to realize full value of these assets.

Some of the Portfolio Entities in which the Portfolio Manager will invest may get their Securities listed with the stock exchange after the investment by the Portfolio Manager. In connection with such listing, the Portfolio Manager may be required to agree not to dispose of its securities in the Portfolio Entity for such period as may be prescribed under the Applicable Law, or there may be certain investments made by the Portfolio Manager which are subject to a statutory period of non-disposal and hence Portfolio Manager may not be able to dispose of such investments prior to completion of such prescribed regulatory tenures and hence may result in illiquidity.

A part of the Client Portfolio may be invested in listed securities and as such may be subject to the market risk associated with the vagaries of the capital market.

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7) Client Representation

- (i) Credent Asset Management Services Private Limited does not have any interest in any other intermediation business like brokerage, depository, custody, etc. its revenues are linked only to the portfolios that it manages.

Credent asset Management services will make best efforts to manage clients account in the best interest of the client. Credent Asset Management Services shall not benefit from Individual client account in any other manner apart from the management and performance linked fee charged to the client.

Category of Clients	No. of Clients	Funds Managed (INR Crs)*
Corporate (Discretionary)	4	4.77
NRI (Discretionary)	0	0
Individual (Discretionary)	51	57.6
Advisory (corporate)	1	10.87
Advisory (Individual)	5	102.8
Total	61	176.04

*As on 30/09/2024

- (ii) Complete disclosure in respect of transactions with related parties as per the standards specified by the Institute of Chartered Accountants of India.

There are no transactions with the related parties during the year 2023-24.

8) Portfolio Management Performance

The following table provides details of the capital invested, total assets under management (AUM) and the actual average performance.

Particulars	Credent Asset Management Services Pvt Ltd.	Credent AIM Multi Cap Strategy
Date of Inception	08 Nov'17	20 Mar'23
Net Capital Invested	6.31 cr.	28.44 cr.
Portfolio Value (As on 31 st March, 2024)	8.54 cr.	31.51 cr.
3 Yr Return on TWRR (As on 31 st March, 2024)	18.69%	N.A.
3 Yr BSE500 Performance (As on 31 st March, 2024)	19.30%	N.A.

Credent Asset Management Services Pvt Ltd.								
As on 31st March	2018	2019	2020	2021	2022	2023	2024	Cumulative
AUM in Crs.	4	12.78	9.1	9.04	8.94	5.83	8.54	8.54
PMS Performance#	-5.93%	-16.23%	-29.23%	22.05%	48.03%	-9.82%	25.25%	13.81%
BSE 500 TRI	13.21	9.67%	-26.46%	78.63%	22.26%	-0.91%	40.16%	138.83%

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Credent AIM Multicap			
As on 31st March	2023	2024	Cumulative*
AUM in Crs.	NA	31.51	31.51
PMS Performance#	NA	56.99%	54.11%
BSE 500 TRI	NA	40.16%	39.87%

Note:

#The above figures are based on the reports generated by the custodian/ fund accountant and submitted to SEBI from time to time.

*Inception date is 20th March, 2023

9) Financial Performance based on audited financial statements

The comparatives mentioned are pertaining to Credent Asset Management Services Private Limited for the immediately preceding three financial years. Credent Asset Management Services shall raise its net worth to not less than five crores within the stipulated time. More detailed financial accounts of Credent Asset Management are attached in the annexure.

Particulars	As on	As on	As on	As on	As on	As on
	31-03-2024	31-03-2023	31-03-2022	31-03-2021	31-03-2020	31-03-2019
	(Audited)	Audited	Audited	Audited	Audited	Audited
Professional fees	473.06	1415.59	190.1	62.08	295.17	178.33
Other Income	7.8	38.06	27.78	9.71	9.83	9.75
Net Profit (After Tax)	77.12	522.9	65.27	0.45	-128.36	0.89
Paid-up capital	229.28	229.28	229.28	229.28	229.28	22.56
Free reserve	1008.55	931.43	44.42	-20.84	-21.29	65.79
Total Net worth	1237.83	1160.71	273.7	208.43	207.98	288.34

10) Audit Observations

There have been no observations for the past 3 financial years.

11) Nature of expenses

The following are the general costs and expenses to be borne by the Clients availing the services of the Portfolio Manager. However, the exact nature of expenses relating to each of the following services is annexed to the Agreement in respect of each of the services provided.

- Management fee:

The management fee relates to the portfolio management services offered to the Clients. The fee charged is up to 3% of total AUM.

- Performance fee:

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The Performance Fee relates to the share of profits charged by the Portfolio Manager, subject to hurdle rate and high-water mark principle. The fee charged is up to 20% of total profits after crossing the hurdle rate of 10%-12%

Termination fee:

The Portfolio Manager may charge an early withdrawal fee as may be agreed upon between the Portfolio Manager and the Clients as per the terms and conditions of a particular Product. The Exit load within 1 year is 2% and within 1-3 years is 1%.

- Other fees and expenses:

- i. Services related to regular communication, account statements, etc.:

Charges relating to custody and transfer of shares, bonds and units, and/or any other charges in respect of the investment.

- ii. Depository/Custodian fee:

Charges relating to opening and operation of demat account, dematerialisation and rematerialisation, etc.

- iii. Registrars and Transfer Agents' fees:

Fees payable to the Registrars and Transfer Agents in connection with effecting transfer of any or all of the securities and bonds including stamp duty, cost of affidavits, notary charges, postage stamps and courier charges.

- Brokerage, Transaction Costs and other Services:

The brokerage and other charges like stamp duty, transaction cost and statutory levies such as service tax, securities transaction tax, turnover fees and such other levies as may be imposed from time to time.

- > Brokerage would be charged at actuals as an expense to the clients.
 - > Operating expenses would not exceed 0.50% per annum of the client's average daily Assets under Management (AUM)

- Any other incidental or ancillary expenses:

All other costs, expenses, charges, levies, duties, administrative, statutory, revenue levies and other incidental costs, fees, expenses not specifically covered above arising out of or in the course of managing or operating the Portfolio incurred by the Portfolio Manager on behalf of the Client shall be charged to the Client.

- If a client is on-boarded directly, no charges other than statutory charges will be levied.

12) Taxation

Clients will be responsible and liable for all taxes under the provisions of the Income Tax Act, 1961 for any income generated out of the investment made in the Portfolio Management Scheme including advance tax obligations. In view of the individual nature of tax consequences on any income, capital gains or otherwise, each Client is advised to consult his/her/its tax advisor with respect to the specific tax consequences to him/her/it with respect to participation in the Portfolio Management Services.

The Portfolio Manager will provide adequate statements to the client for accounting and tax purposes. The Portfolio Manager shall not be responsible for assisting in or completing the fulfilment of the client's tax obligations.

A. Tax deduction at source

Tax is required to be deducted at source for non-residents by the authorized dealer under section 195 of the Income Tax Act,

1961 (the Act'). If required, tax will be withheld for non-residents. If any tax is required to be withheld on account of any future legislation, the Portfolio Manager shall be obliged to act in accordance with the regulatory requirements in this regard.

Any person entitled to receive any sum or income or amount, on which tax is deductible under Chapter XVIIIB, shall furnish his Permanent Account Number to the person responsible for deducting such tax, failing which tax shall be deducted at the higher of the following rates, namely:

- (i) at the rate specified in the relevant provision of this Income Tax Act; or
- (ii) at the rate or rates in force; or
- (iii) at the rate of twenty per cent.

Health and education cess @ 4% is applicable.

B. Advance tax instalment obligations

It shall be the Client's responsibility to meet the obligation on account of advance tax instalments payable on the due dates under the Act.

13) Accounting policies

- A. The Portfolio Manager shall maintain a separate portfolio record in the name of the client to account for the assets of the client and any receipts, income and expenses in connection therewith as provided under the SEBI (Portfolio Managers) Regulations 2020.
- B. For every Client portfolio, the Portfolio Manager shall keep and maintain proper books of accounts, records and documents, for the Client, on mercantile system of accounting, so as to explain its transactions and to disclose at any point of time the financial position of the Client portfolio and Financial Statements and in particular give a true and fair view of the state of affairs.
- C. The following Accounting Policies are proposed to be followed for the purpose of maintaining books of accounts, records for the client:
 - > All investments will be marked to market.
 - > In determining the holding cost of investments and the gains or loss on sale of investments, the 'first in first out' method shall be followed.
 - > The cost of investments acquired or purchased would include brokerage, stamp charges and any charge customarily included in the broker's contract note.
 - > Accounting norms prevalent in the portfolio management services industry and as may be prescribed/applicable from time to time.

14) Investors services

The Portfolio Manager seeks to provide the portfolio clients a high standard of service. The Portfolio Manager is committed to put in place and upgrade on a continuous basis the systems and procedures that will enable effective servicing through the use of technology. The Client servicing essentially involves: -

- (a) Reporting portfolio actions and client statement of accounts at pre-defined frequency;
- (b) Attending to and addressing any client query with least lead time;
- (c) Ensuring portfolio reviews at predefined frequency.

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Name, address and telephone number of the investor relation officer who shall attend to the investor queries and complaints:

Name	Aditya Vikram Kanoria
Address	One BKC, G-Block, C-Wing ,6th Floor, Unit no 609, Bandra Kurla Complex, Bandra (East), Mumbai - 400051, Maharashtra, India.
Contact No	93200 84168
Email id	aditya@credentglobal.com

Grievance redressal and dispute settlement mechanism:

The aforesaid personnel of the Portfolio Manager shall attend to and address any client query/concern/grievance at the earliest. The Portfolio Manager will ensure that this official is vested with the necessary authority and independence to handle client complaints.

The aforesaid official will immediately identify the grievance and take appropriate steps to eliminate the causes of such grievances to the satisfaction of the client. Effective grievance management would be an essential element of the Portfolio Manager's portfolio management services and the aforesaid official may adopt the following approach to manage grievance effectively and expeditiously:

1. Quick action- As soon as the grievance arises, it would be identified and resolved. This will lower the detrimental effects of grievance.
2. Acknowledging grievance- The aforesaid officer shall acknowledge the grievance put forward by the Client and look into the complaint impartially and without any bias.
3. Gathering facts- The aforesaid official shall gather appropriate and sufficient facts explaining the nature of the grievance. A record of such facts shall be maintained so that these can be used in later stage of grievance redressal.
4. Examining the causes of grievance- The actual cause of grievance would be identified. Accordingly, remedial actions would be taken to prevent repetition of the grievance.
5. Decision-making - After identifying the causes of grievance, alternative course of actions would be thought of to manage the grievance. The effect of each course of action on the existing and future management policies and procedure would be analysed and accordingly decision should be taken by the aforesaid official. The aforesaid official would execute the decision quickly.
6. Review - After implementing the decision, a follow-up would be there to ensure that the grievance has been resolved completely and adequately.

Grievances/concerns, if any, which may not be resolved/satisfactorily addressed in aforesaid manner shall be redressed through the administrative mechanism by the designated Compliance Officer, namely Ms. Preeti Sethi and subject to SEBI (Portfolio Managers) Regulations, 2020 and any amendments made thereto from time to time. The Compliance Officer will endeavour to address such grievance in a reasonable manner and time. The coordinates of the Compliance Officer are provided as under:

Name	Preeti Sethi
Address	One BKC, G-Block, C-Wing, 6 th Floor, Unit no 609, Bandra Kurla Complex, Bandra (East), Mumbai - 400051, Maharashtra, India.
Contact No	8657863523
Email id	compliance@credentglobal.com

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If the client still remains dissatisfied with the remedies offered or the stand taken by the Compliance Officer, the Client and the Portfolio Manager shall abide by the following mechanisms:

Any dispute and differences arising out of or in connection with this Agreement shall be settled by the online dispute resolution mechanism as notified by SEBI from time to time. The Courts of Mumbai shall have exclusive jurisdiction to adjudicate upon the claims of the parties.

Without prejudice to anything stated above, the Client can also register its grievance/complaint through SCORES (Sebi Complaints Redress System), post which SEBI may forward the complaint to the Portfolio Manager and the Portfolio Manager will suitably address the same.

15) General

Prevention of Money Laundering and Client Information

The Portfolio Manager shall presume that the identity of the Client and the information disclosed by the Client is true and correct. It will also be presumed that the funds invested by the Client through the services of the Portfolio Manager come from legitimate sources / manner only and does not involve and is not designated for the purpose of any contravention or evasion of the provisions of the Income Tax Act, 1961, PML Laws, Prevention of Corruption Act, 1988 and/or any other Applicable Law in force and also any laws enacted by the Government of India from time to time or any rules, regulations, notifications or directions issued there under and the investor is duly entitled to invest the said funds.

To ensure appropriate identification of the Client(s) under its KYC policy and with a view to monitor transactions in order to prevent money laundering, the Portfolio Manager (itself or through its nominated agency as permissible under Applicable Laws) reserves the right to seek information, record investor's telephonic calls and/or obtain and retain documentation for establishing the identity of the investor, proof of residence, source of funds, etc.

Where the funds invested are for the benefit of a person (beneficiary) other than the person in whose name the investments are made and/or registered, the Client shall provide an undertaking that the Client is holding the funds/Securities in his name is legally authorized/entitled to invest the said funds through the services of the Portfolio Manager, for the benefit of the beneficiaries.

The Portfolio Manager will not seek fresh KYC from the Clients who are already KRA compliant and the ones who are not KRA compliant, the information will be procured by the Portfolio Manager and uploaded.

The Portfolio Manager, and its directors, employees, agents and service providers shall not be liable in any manner for any claims arising whatsoever on account of freezing the client account/rejection of any application or mandatory repayment/returning of funds due to non-compliance with the provisions of the PML Laws and KYC policy and/or where the Portfolio Manager believes that transaction is suspicious in nature within the purview of the PML Laws and/or for reporting the same to FIU-IND.

Notwithstanding anything contained in this Document, the provisions of the Regulations, PML Laws and the guidelines there under shall be applicable. Clients/Investors are advised to read the Document carefully before entering into an Agreement with the Portfolio Manager.

16.. Details of investments in the securities of related parties of the portfolio manager:

The Portfolio Manager has not made any investment in any securities issued by any group company or associates. The Portfolio Manager will be guided and adhere with PMS Regulations before investing in equity and debt/hybrid securities of its associates/related parties.

17. Details of the diversification policy of the portfolio manager

Diversification Policy: The Portfolio Manager has a diversification policy in place, which covers the following considerations in managing of Client's funds and mitigating risk that could arise from non-diversification.

- Portfolio construction basis Investment Approach objectives.
- Number of securities and level of concentration of securities basis percentage, sectors/industry.
- Adhering with limits of investment prescribed under the applicable Regulation.
- Client's guidance on limits/restriction for investment in securities
- Nature of securities viz. equity, debt, liquid, and market capitalization/sector/industry etc
- Liquidity nature of the securities

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FORM C

SECURITIES AND EXCHANGE BOARD OF INDIA (PORTFOLIO MANAGERS) REGULATIONS, 2020

(Regulation 22)

Credent Asset Management Services Private Limited

*One BKC, G-Block, C-Wing, 6th Floor, Unit no 609,
Bandra Kurla Complex, Bandra (East), Mumbai - 400051, Maharashtra, India*

We confirm that:

- (i) The Disclosure Document forwarded to the Board is in accordance with the SEBI (Portfolio Managers) Regulations, 2020 and the guidelines and directives issued by the Board from time to time;
- (ii) The disclosures made in the Document are true, fair and adequate to enable the investors to make a well informed decision regarding entrusting the management of the portfolio to us / investment in the Portfolio Management;
- (iii) The Disclosure Document has been duly certified by an independent Chartered Accountant - Manohar Chowdhry & Associates, membership number 001997S on 31/3/2024 (enclosed is a copy of the Chartered Accountants' certificate to the effect that the disclosures made in the Document are true, fair and adequate to enable the investors to make a well informed decision).

Place: Mumbai Date: May 31, 2024

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ANNEXURE-I

"Credent AIM Multi Cap"

➤ Investment strategy

The investment team looks for stocks with the following characteristics:

- a) Superior return generation over the capital employed over a period of time
- b) Good Management Pedigree & Corporate Governance Standards
- c) Increasing addressable business
- d) Undervalued Opportunities
- e) Business turnaround stories

➤ Type of securities invested in

Equity shares of Listed Companies, liquid/overnight mutual funds, warrants, rights, convertible bonds and other securities as specified by SEBI from time to time.

➤ Basis for choice of benchmark:

- BSE 500 TRI (as the median and mean of the portfolio are likely to be in the midcap space).

➤ Basis of selection

Combination of Top to Bottom & Bottom up stock picking approach looking at various parameters as outlined above.

➤ Allocation of portfolio

The fund invests predominantly in equities. As of 31st March, 2024, our portfolio was invested, 95.10% in Equity & 4.9% was maintained as Cash and Equivalent.

➤ Sector Focus

- Sector Agnostic

➤ Our Investment Team

All investing decisions are taken by the investment management team, they inform the execution team at credent asset management with the portfolio allocation details.

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ANNEXURE-II

"Credent Asset Management Services Pvt Ltd."

> Investment strategy

- a. Investment Objective: The investment objective is to curate a perfectly diversified & balanced portfolio in order to generate maximum returns and capital appreciation for our investors.
- b. Types of Securities: Our portfolio consists of securities like Equity, Debt Instruments and Mutual Fund.
- c. Basis of selection of securities: We select our securities based on Fundamentals or Technical momentum parameters of the companies, our strategy terms like diversification and balance in the portfolio such that the risk is minimized.
- d. Basis for choice of benchmark: BSE 500 TRI (as the median and mean of the portfolio are likely to be in the midcap space).
- e. Indicative tenure/Investment horizon: The client is expected to invest for at least 3 years.
- f. Risk associated with Investment Approach: We believe the only risk associated with our investment approach is external risk like market & volatility risk. For detailed information on the risks involved, please refer Point 6 - Risk factors.

➤ Allocation of portfolio

Allocation of portfolio across types of securities: As of 31st March, 2024, our portfolio was invested, 74.03% in Equity, 4.06% in ETF, 7.92% in Receivable & 13.98% was maintained as Cash & Equivalent.

➤ Sector Focus

Agnostic

> Risks

Please refer to Point 6 on 'Risks Associated' above.

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ANNEXURE-III

“Mehta Credent Focused Multicap”

➤ Investment strategy

The investment team looks for stocks with the following characteristics:

- Achieving good returns on invested capital over time
- Exemplary management and robust corporate governance
- Growing market potential
- Discovering undervalued assets
- Successful business turnarounds

➤ Type of securities invested in

Equity shares of Listed Companies, liquid/overnight mutual funds, warrants, rights, and other securities as specified by SEBI from time to time.

➤ Basis for choice of benchmark:

- BSE 500 TRI (as the median and mean of the portfolio are likely to be in the midcap space).

➤ Basis of selection

Combination of Top to Bottom & Bottom up stock picking approach looking at various parameters as outlined above.

➤ Allocation of portfolio

The allocation of the portfolio would be focus towards 20-25 stocks.

➤ Sector Focus

- Sector Agnostic

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Other Terms

- a) The Portfolio Manager shall have the sole and absolute discretion to invest the Capital Contribution in accordance with the Agreement and make changes to the investment pattern and/or invest all or some of the Capital Contribution in a manner that it deems fit.
- b) The Portfolio Manager may exercise voting rights, if any, and such other rights in relation to any Securities held on behalf of or invested with the Capital Contribution, in its absolute discretion, but subject to Applicable Laws.
- c) Any decision of the Portfolio Manager (taken in good faith) in deployment of the Client Portfolio is absolute and final and cannot be called in question or be open to review at any time during the currency of the Agreement or any time thereafter except on the grounds of malafide, fraud, conflict of interest or gross negligence.
- d) The Portfolio Manager, in its absolute discretion, may conduct operations and transactions including sale and purchase transactions from the Client Portfolio through agencies, entities, brokers or a panel of brokers at prevalent market prices.
- e) In the management of the Client Portfolio, the Portfolio Manager may, in its sole discretion apply for, subscribe, obtain, buy, accept, acquire, endorse, transfer, redeem, renew, exchange, dispose, sell or otherwise deal in the Securities and generally manage, convert, transpose and vary the investments of the Client's Portfolio. The powers exercised by the Portfolio Manager as above shall be final, binding and irrevocable on the Client and the Client shall be deemed to have approved/ratified any such investment and related activities or deeds that the Portfolio Manager may undertake from time to time.
- f) Accruals, accretions, benefits, allotments, calls, refunds, returns, privileges, entitlements, substitutions and / or replacements or any other beneficial interest including dividend, interest, premium, discounts and other rights, benefits and accruals that accrue to the investments in respect of the Client's Portfolio shall be received by the Portfolio Manager in the name of the Client or in its own name only if so permitted by Applicable Law but would in any event belong to Client Portfolio.
- g) The Portfolio Manager shall buy and sell Securities on the basis of delivery and shall in all cases of purchases, take delivery of the relevant Securities and in all cases of sale, deliver the relevant Securities and shall, in no case, put itself in a position whereby it has made a short sale or needs to carry forward a transaction or engage in badla finance, except where it is permitted to trade in derivatives according to the Regulations Subject to the fees charged by the Portfolio Manager, and other deductible expenses, all

Credent Asset Management Services Pvt. Ltd.

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variations in the value including capital appreciation or depreciation, trading profits or losses, dividends, interest, premium, discounts and other rights and accruals on the Securities of the Client's Portfolio, would be to the account of and belong solely to the Client. Subject to the aforesaid, the Portfolio Manager, may from time to time:

- i. purchase or sell Securities inter se among its Clients;
 - ii. have business relationship with Portfolio Entity/ies whose Securities are held, purchased or sold for the Client's account and may be separately compensated for carrying on such other business activity by the Portfolio Entity/ies;
 - iii. purchase, hold and sell for the Client's account any Securities that may have been held or acquired by it or by its Clients with whom it has business relationships subject to the provisions of Clause (ii) hereinabove; and
 - iv. exercise voting rights, if any, and such other rights in relation to any Securities held on behalf of or invested with the Capital Contribution, in its absolute discretion, but subject to Applicable Laws.
- h) The Portfolio Manager shall keep the funds of the Client in a separate bank account segregated from the accounts of Portfolio Manager. The Portfolio Manager may keep the funds of a Client along with the funds of other clients in the PMS subject to the requirements laid down under Regulations and use the same for the purpose of the purchase and sale of Securities allowed in the Agreement and for payment of allowable expenses/fees and for the purposes set out in the Agreement. The Portfolio Manager shall not use funds of the Client for the benefit of any of its other clients. The Portfolio Manager shall (itself or through an entity appointed by it) ensure that the securities account of the Client is segregated from the accounts of all the other clients of the Portfolio Manager (in accordance with the Applicable Laws).
- i) Funds pending investments, if any, shall be invested by the Portfolio Manager in bank deposits, money market instruments, liquid funds, bonds with investment grade rating from an accredited rating agency, government issued treasury securities and capital guaranteed schemes offered by major financial institutions, liquid or money market mutual fund schemes and other similar securities/instruments etc. In no case shall the Portfolio Manager deploy the Capital Contribution in unregulated financing mechanism such as badla or discounting of bills of exchange or for the purpose of lending or placement with corporate or non-corporate bodies unless otherwise permitted by SEBI.

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- > The policies for investments in associates/group companies of the portfolio manager and the maximum percentage of such investments therein subject to the applicable laws/regulations/guidelines.

The Portfolio Manager will not be making investments in associates/group companies.

> Direct Onboarding Option:

Investors have an option to invest directly with us without the use of an intermediary.

➤ Identification of Appropriate Investments

The success of the PMS as a whole depends on the identification and availability of suitable investment opportunities and terms. The availability and terms of investment opportunities will be subject to market conditions, prevailing regulatory conditions in India where the Portfolio Manager may invest, and other factors outside the control of the Portfolio Manager. Therefore, there can be no assurance that appropriate investments will be available to, or identified or selected by, the Portfolio Manager.

➤ Change in Regulation

Any change in the Regulations and/or other Applicable Laws or any new direction of SEBI may adversely impact the operation of the PMS.

➤ Political, economic and social risks

Political instability or changes in the Government could adversely affect economic conditions in India generally and the Portfolio Manager's business in particular. The Portfolio Entity's business may be affected by interest rates, changes in Government policy, taxation, social and civil unrest and other political, economic or other developments in or affecting India. Future actions of the Indian central government or the respective Indian state governments could have a significant effect on the Indian economy, which could adversely affect private and public sector companies, market conditions, prices and yields of the Portfolio Entity/ies.

➤ Inflation Risk

Inflation and rapid fluctuations in inflation rates have had, and may have, negative effects on the economies and securities markets of the Indian economy. International crude oil prices and interest rates will have an important influence on whether economic growth targets in India will

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be met. Any sharp increases in interest rates and commodity prices, such as crude oil prices, could reactivate inflationary pressures on the local economy and negatively affect the medium-term economic outlook of India.

➤ **Reliance on the Portfolio Manager**

The success of the PMS will depend to a large extent upon the ability of the Portfolio Manager to source, select, complete and realize appropriate investments and also reviewing the appropriate investment proposals. The Portfolio Manager shall have considerable latitude in its choice of Portfolio Entities and the structuring of investments.

➤ **Tax risks**

Changes in state and central taxes and other levies in India may have an adverse effect on the cost of operating activities of the Portfolio Entities. The Government of India, State Governments and other local authorities in India impose various taxes, duties and other levies that could affect the performance of the Portfolio Entities. An increase in these taxes, duties or levies, or the imposition of new taxes, duties or levies in the future may have a material adverse effect on the Client Portfolio's profitability. Furthermore, the tax laws in relation to the Client Portfolio are subject to change, and tax liabilities could be incurred by clients because of such changes.

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